

Extra exercises of Lecture 2

EX 1

The price of a 3-year zero coupon bond with face value of \$1,100 is \$900. What is the yield-to-maturity?

- a) 1.9%
- b) 5.2%
- b) 3.6%
- d) None of the others

EX 2

Consider two securities with the same yield to maturity.

Security A pays \$1,150 four years from now, while security B pays \$1,200 three years from now.

Which of these two securities has a higher price?

- a) The answer is ambiguous and depends on the market interest rate
- b) Security A
- c) They have the same price
- d) Security B

EX 3

A bond with a face value of \$2,000 and a coupon rate of 10% is selling for \$2,200. Which of the following is true?

- a) the yield to maturity is 10.5%
- b) the yield to maturity is less than 10%
- c) the yield to maturity is 10%
- d) the yield to maturity is 11%

EX 4

Consider a perpetuity with annual coupon of C , initial price P_0 and interest rate i_0 . If the interest rate doubles, what's the new price P_1 of the perpetuity?

- a) $P_0 * 2$
- b) $C/2$
- c) P_0
- d) $P_0/2$